is born, and that the circumstances of an individual's birth can have a significant impact on their quality of life and economic opportunities.

3.2 Debt: The Fine Line Between Help and Harm

Debt is a double-edged sword. It's true that borrowing money can provide a much-needed financial boost, whether it's for individuals making a big purchase, businesses investing in their growth, or governments funding important services. But borrowing too much can lead to financial ruin. When you can't pay the interest on your debts, it becomes harder to pay your bills and stay afloat. This is especially true when an entity takes on more debt to pay off existing debt, and gets caught in a vicious cycle known as a "debt spiral."

Debt is money that is owed by one person or organization to another. When you have debt, you are required to pay back the money you owe, usually with interest, by a certain date.

The debt crisis is a worldwide problem, including in the United States. Currently, the government is spending more money than it is earning. To pay its bills, it has been borrowing more and more money. However, this cycle of debt and higher borrowing costs can soon harm the government's credit rating. If the debt becomes too much, the government may have financial difficulties and potentially go bankrupt, just as many other countries have in the past.

The State of the World´s Government Debt

Debt to GDP Ratio 2021 (%)

- 200% and more
- 100% - 199.9%
- 50% - 99.9%
- 20% - 49.9%
- 10 – 19.9%
- Less than 10%